

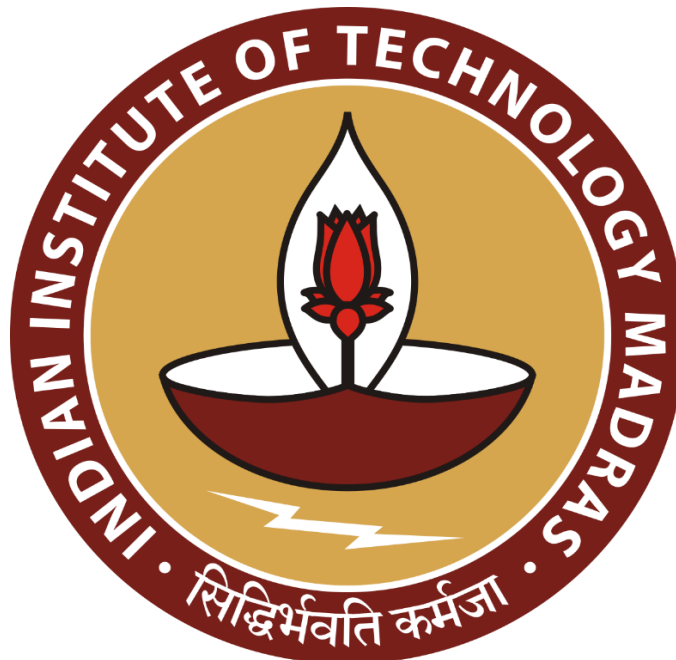
Enhancing Operational Efficiency and Driving Business Growth at JM Marketing

A Proposal Report for the BDM Capstone Project

Submitted by

Name: Avnish Jajodia

Roll number: 22F3001777



IITM Online BS Degree Program,
Indian Institute of Technology, Madras, Chennai
Tamil Nadu, India, 600036

Contents

1 Executive Summary and Title	3
2 Organisation Background	3
3 Problem Statement	4
Optimize Inventory Management to Reduce Order Processing Time	
Enhance Sales and Reduce Holding Costs of Inventory	
4 Background of the Problem	4
5 Problem Solving Approach	5
6 Expected Timeline	6
7 Expected Outcome	7

Declaration Statement

I am working on a Project Title “Enhancing Operational Efficiency and Driving Business Growth at JM Marketing”. I extend my appreciation to JM Marketing for providing the necessary resources that enabled me to conduct my project.

I hereby assert that the data presented and assessed in this project report is genuine and precise to the utmost extent of my knowledge and capabilities. The data has been gathered through primary sources and carefully analysed to assure its reliability.

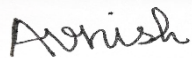
Additionally, I affirm that all procedures employed for the purpose of data collection and analysis have been duly explained in this report. The outcomes and inferences derived from the data are an accurate depiction of the findings acquired through thorough analytical procedures.

I am dedicated to adhering to the information of academic honesty and integrity, and I am receptive to any additional examination or validation of the data contained in this project report.

I understand that the execution of this project is intended for individual completion and is not to be undertaken collectively. I thus affirm that I am not engaged in any form of collaboration with other individuals, and that all the work undertaken has been solely conducted by me. In the event that plagiarism is detected in the report at any stage of the project's completion, I am fully aware and prepared to accept disciplinary measures imposed by the relevant authority.

I agree that all the recommendations are business-specific and limited to this project exclusively, and cannot be utilized for any other purpose with an IIT Madras tag. I understand that IIT Madras does not endorse this.

Signature of Candidate:



Name: Avnish Jajodia

Date: 01/10/2024

1. Executive Summary and Title:

The project is on a company named JM Marketing; an established aluminium products supplier located in Kolkata. The business primarily operates in the B2B segment but also serves the B2C market. It offers a range of products including aluminium panel sheets, sections, and custom windows and doors.

The major business challenges at JM Marketing include inefficient inventory management, which is causing significant order delays leading to customer dissatisfaction and their attrition. The firm is also experiencing stagnant sales growth and working capital blockage in unsold inventories leading to increased holding costs and reduced profitability.

These issues will be addressed by analysing the inventory data and performing FSN (Fast, slow and Non-moving) analysis for SKUs categorization thereby resulting in improved inventory management and reduce order fulfilment lead time and will also try to find insights from inventory data and try to find reasons for the high working capital requirement of the firm. Analysis on sales data would also be carried out to determine the reasons for stagnant sales growth of the firm. The expected outcome from the project helps JM Marketing to improve order processing efficiency and reduce working capital blockage, holding cost in unsold inventory and help in increase in profitability of the firm.

2. Organization Background:

Address: 37, Lenin Sarani Road, Esplanade, Kolkata West Bengal 700013

JM Marketing is a for-profit Kolkata based organisation founded in the year 2000 by Ratan Agarwal and Bharat Agarwal, has emerged as a key player in the aluminium sector. The company offers a comprehensive range of products, including aluminium panel sheets, aluminium sections, customized windows and doors, laminates, and other related products. The company has a skilled workforce and provides employment to over 20 employees and labourers. The business primarily operates in the B2B segment but also serves the B2C market as and when needed. With over two decades of operation, the company has established enduring partnerships with over 50 businesses and achieved successful deliveries to more than 600 locations and serving over 500 buyers. The company is dedicated in providing premium quality aluminium materials, adhering to standard manufacturing and transportation system to ensure superior product quality for its customers.

3. Problem Statement:

- **Optimize Inventory Management to Reduce Order Processing Time**
JM Marketing is experiencing significant order delays, with increasing time lags leading to customer dissatisfaction and order cancellation.
- **Enhance Sales Growth and Optimize Working Capital Efficiency**
JM Marketing is currently grappling with a working capital blockage due to unsold inventories languishing in their warehouse leading to elevated holding costs. Moreover, the firm is experiencing stagnant sales growth which is putting a strain in overall growth of the business.

4. Background of the Problem:

The company is currently experiencing both internal and external challenges that are impacting its performance and growth.

Internally, the firm is grappling with frequent order delays caused by extended order processing times, which has led to negative customer experiences. This dissatisfaction amongst its customers has resulted in an increase in customer attrition and order cancellations. Moreover, the company is unable to manage its diverse range of stock keeping units (SKUs) efficiently. This inefficiency contributes to a significant working capital blockage, as inventories are lying unsold in the warehouse and also resulting in the rise in inventory holding cost, thereby impacting overall profitability of the firm. The company is also unable to accurately forecast the demand of the market, leading to the over purchase of certain SKUs from various suppliers. This excess inventory has accumulated into dead stock, further inflating holding costs and putting additional pressure on the company's profitability. Furthermore, the company is observing stagnant sales and business growth for the past quarters.

Externally, the company is facing intense market competition. If JM Marketing fails to fulfil orders in a timely manner, customers are likely to turn to competitors, resulting in loss of sales and damage to the company's reputation and goodwill. Moreover, the company is located in the highly competitive Chandni Market area of Lenin Sarani, Kolkata which is a major business hub of Kolkata and thereby surrounded by numerous wholesalers and competitors which increases the pressure to retain customers and to sustain a good position in the market.

5. Problem Solving Approach:

METHOS USED:

I. Streamlining Order Processing-

This analysis will provide a detailed evaluation of SKU movement patterns over the past year. Applying FSN (Fast, Slow, and Non-moving) analysis, will help to categorize SKUs into fast, medium, and slow-moving categories. This will facilitate optimized warehouse storage, enhance operational efficiency, and minimize order fulfilment lead times.

II. Sales Performance Analysis-

A detailed examination of sales data will be conducted to identify the factors contributing to the stagnant growth in sales. This analysis will provide actionable insights to guide strategic decision-making and drive sustainable business growth.

III. Working Capital Optimization Analysis-

A detailed FSN (Fast, Slow, Non-moving) analysis will be employed to identify and evaluate stagnant SKUs. This analysis will focus on reducing excess inventory and associated holding costs by implementing targeted strategies to enhance inventory turnover and optimize stock levels, thereby improving overall profitability and reducing the firm working capital requirement.

INTENDED DATA COLLECTION:

I. Inventory Data-

Inventory data for at least six months will be collected containing attributes namely item receive date, quantity received, item issue date, quantity issued in order to perform FSN analysis on the data to conclude actionable strategies for efficient inventory management and warehousing.

II. Sales Data-

Sales data spanning at least six months will be collected and analysed to identify trends and uncover insights related to stagnant sales growth. This analysis will pinpoint the

root causes of stagnant sales, enabling the company to address these issues effectively and efficiently.

ANALYSIS TOOLS USED:

Microsoft Excel-

Microsoft Excel is a versatile tool for data cleaning, processing, and analysis. It allows for efficient organization and manipulation of large datasets through features like sorting, filtering, and pivot tables. It has built in functions and formulas which helps to perform complex calculations and statistical analysis. Additionally, its data visualization capabilities, including charts and graphs, provide clear insights into trends and patterns present in the dataset. The data analysis tab of excel helps to perform descriptive statistics and also helps in applying what-if analysis, along with forecasting features, to derive valuable insights and conclusions from the data.

6. Expected Timeline:

6.1 Work Breakdown Structure:

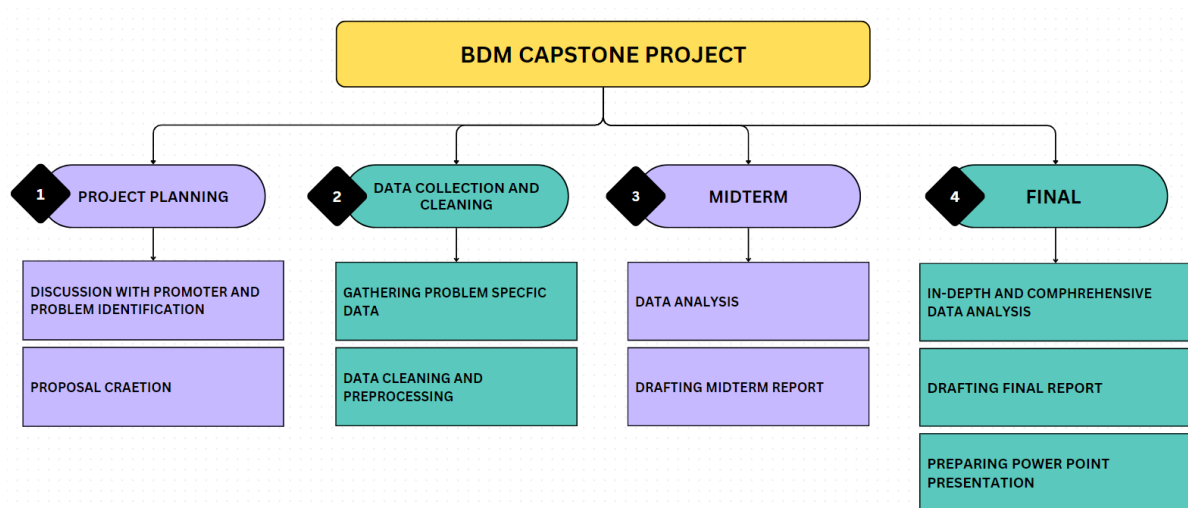


Figure 1 Work Breakdown Structure

6.2 Gantt chart:

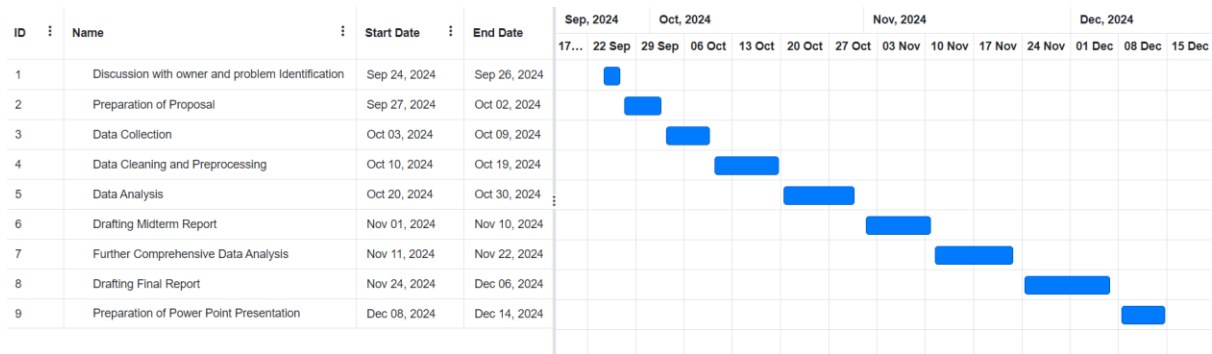


Figure 2 Expected timeline for completion of project.

7. Expected Outcome:

- 7.1 **Enhanced Order Fulfilment Efficiency:** Reduced order processing times and minimized delays, leading to improved customer satisfaction and fewer order cancellations.
- 7.2 **Improved Sales Performance:** Insights derived from sales data analysis will guide strategic decisions, addressing the factors contributing to stagnant sales and fostering business growth.
- 7.3 **Reduced Working Capital Requirement:** Insights derived from inventory data will help us to identify stagnant inventories and reduce holding cost and increase turnover rates, thereby enhancing overall profitability and reducing working capital requirements.
- 7.4 **Optimized Inventory Management:** By categorising SKUs using FSN analysis will help in better alignment of inventory levels and strategic placement of SKUs in the warehouse and thereby lead to enhanced operational efficiency.